

Olevel economics

Chp# Demand and Supply

Topic:- Factors affecting demand

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Topic #2

Factors affecting demand (other than price) → Quantity demand

↓
other factors

① Income (Y) → Purchasing power

Note

Income represents purchasing power which can affect two types of goods, one are normal goods and other are inferior goods. Normal goods are high quality goods, i.e. superior in nature and luxurious where an increase in income causes increase in demand. While inferior goods are relatively low quality goods, where increase in income reduces demand of inferior goods e.g. public and private transport.

Normal goods	Inferior goods
Superior goods	low Quality
High Quality	(Relative)
Expensive	cheaper
Branded	

Income ↑ D↑	Income ↑ D↓
Income ↓ D↓	Income ↓ D↑

e.g. Private transport and public transport

* Income ↑	Demand ↑ (Private transport)
* Income ↑	Demand ↓ (Public transport)

② Direct taxes → Burden

e.g. Income tax and corporation tax

$$\text{Disposable income} = \text{Income} - \text{Direct tax}$$

↙ ↘
save spend

Direct tax ↑
Disposable income ↓
purchasing power ↓
Spend ↓
Demand ↓

Direct tax ↓
Disposable income ↑
purchasing power ↑
Spend ↑
Demand ↑

Note:- Direct tax is a tax which can't be avoided e.g. income tax. It puts a direct burden on individual's income. A rise in direct tax reduces disposable income and thus affects purchasing power causing a fall in demand for goods and services. While a reduction in direct tax increases disposable income which affects purchasing power, causing a rise in demand for goods and services.

③ Prices of related goods

Substitutes



alternatives



coke

pepsi

Price ↑
QD ↓

Demand ↑

Complements



Jointly demanded
goods



car

Price ↑
QD ↓

petrol

Demand ↓

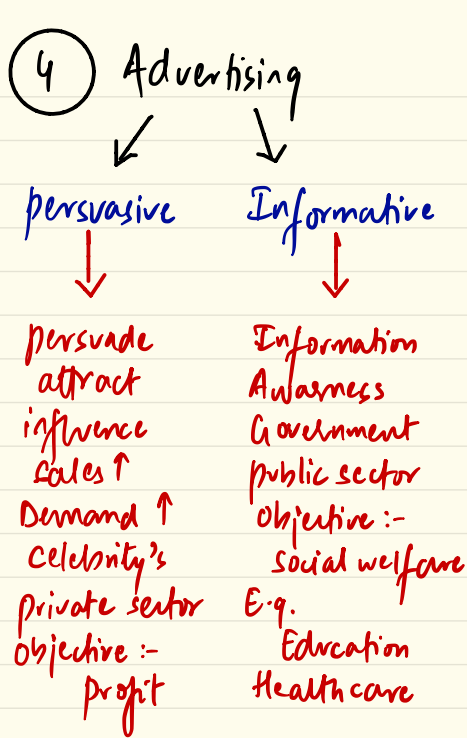
price ↓
QD ↑

Demand ↓

price ↓
QD ↑

Demand ↑

Substitutes are alternatives which can be used in place of one another. An increase in price of coke causes people to switch to pepsi. While complements are jointly demanded goods where demand of one good is connected to the demand of other. An increase in price of car causes demand for petrol to fall too.



Advertising is a marketing communication that employs an openly sponsored, non-personal message to promote or sell a product, service or idea. Sponsors of advertising are typically businesses wishing to promote their products or services.

Note:- Advertising can be categorized into persuasive and informative. Persuasive advertising is mostly used by private sector to influence individual's decision through different mediums, with the objective of making profit. While informative advertising is mostly used by government to create awareness with the objective of social welfare e.g. education and health care.

Most of the firms today uses combination of both to influence the target audience.

More factors affecting demand:-

The taste and preferences of consumers:- There are all kinds of things that can change one's taste or preferences that cause people to want to buy more or less of a product. If a celebrity endorses a new product, this may increase the demand for a product. On the other hand, if a new health study comes out saying it is bad for your health, this may decrease the demand for the product. Another example is that a person may have a higher demand for an umbrella on a rainy day than a sunny day.

Changes in population:- An increase in the size of the total population leads to an increase in demand for many goods and services causing their demand curves shift outwards. In developing countries the birth rates are very high causing the young population as a larger proportion of the total population and hence the demand for the goods and services by the young population increases.

Changes in interest rates:- Many goods and services are bought on credit using borrowed money, thus the demand for them may be sensitive to the rate of interest charged by the lender. An increase in the interest rate would encourage an individual to save more rather than spend, thus reducing consumption expenditure, hence decreasing the demand for goods and services.

Questions (H.W #2)

Marks: 46

- Q1 Define income? 2
- * Always define the important terms before you begin writing an answer.
- Q2 Explain how a rise in income can affect the demand of different types of goods? 4
Income $\uparrow$ $D \uparrow$ (Normal) $D \downarrow$ (inferior)
- Q3 Explain how a fall in income can affect the demand of different types of goods? 4
Income $\downarrow$ $D \downarrow$ (Normal) $D \uparrow$ (inferior)
- Q4 Define direct tax? 2 e.g.
Tax $\uparrow$, Disposable income $\downarrow$, purchasing power $\downarrow$, Spend $\downarrow$, Demand $\downarrow$
- Q5 Explain how a rise in direct tax can affect the demand of goods? 4
- Q6 Explain how a fall in direct tax can affect the demand of goods? 4
- Q7 Define substitutes? 2 e.g.
- Q8 Using an example, explain the effect of a rise in price of a good on demand of its substitutes? 4
Price $\uparrow$ (coke) $QD \downarrow$ (coke) Demand $\uparrow$ (pepsi)

Q9 Using an example, explain the effect of a fall in price of a good on demand of its substitutes? 4

$P \downarrow (\text{coke}) \Rightarrow Q \uparrow (\text{coke}) \quad D \downarrow (\text{pepsi})$

Q10 Define complements? 2 e.g.

Q11 Using an example, explain the effect of a rise in price of a good on demand of its complements? 4

$P \uparrow (\text{car}) \Rightarrow Q \downarrow (\text{car}) \quad D \downarrow (\text{petrol})$

Q12 Using an example, explain the effect of a fall in price of a good on demand of its complements? 4

$P \downarrow (\text{car}) \Rightarrow Q \uparrow (\text{car}) \quad D \uparrow (\text{petrol})$

Q13 Define advertising and using examples, explain the impact on advertising on demand of different goods? 6

Define advertising

Explain persuasive

Connect to private sector

Explain informative

Connect to public sector

Take example of products

Take examples of private sector and public sector products!